

China Daily Brief

Friday, September 18, 2026

3,230 words · 13 min read

RE: Sabina Shoal collision · Wang Yi-Rubio call before Sept 24 summit · Iran veto · Mukden at 95 · yuan four-year high

USD/CNY
6.6868
▼ -0.32%

SSE COMPOSITE
3,911.87
▲ +0.68%

HANG SENG
24,750.78
▼ -0.22%

BRENT
\$98.55
▼ -6.75%

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• TODAY AT A GLANCE

- 1 A China Coast Guard cutter made contact with a Philippine fisheries vessel near Sabina Shoal at midday, nine minutes after passing within about 10 metres of its stern, and both capitals accused the other of deliberate ramming.
- 2 Wang Yi and Marco Rubio spoke by phone to prepare "the next stage of high-level interactions" six days before Xi Jinping's Washington visit, which Beijing still has not formally announced.
- 3 Russia and China vetoed the US bid to renew the mandate of the independent UN panel monitoring sanctions on Iran, ending outside reporting on enforcement.

US-CHINA

Wang Yi and Rubio speak by phone to prepare Xi's Washington trip

Wang Yi and Secretary of State **Marco Rubio** spoke on Sept 17, with the Xinhua readout saying the two focused on high-level exchanges and that the sides should "prepare well for the next stage of high-level interactions" in a spirit of equality, respect and reciprocity; they also exchanged views on the Middle East. Politico reported that **Donald Trump** will personally greet Xi on the tarmac, per Sinocism, and a US official told AFP that Xi is due at Joint Base Andrews at 4pm EDT on Sept 23.

REUTERS; XINHUA READOUT VIA CHINA TIMES; SINOCISM

DIPLOMACY

Russia and China veto US bid to renew UN expert monitoring of Iran sanctions

Moscow and Beijing vetoed the US draft resolution that would have extended the mandate of the independent panel of experts monitoring UN sanctions on Iran, ending outside reporting on enforcement. Both argued the relevant sanctions have expired and the issue should no longer be on the agenda, per the New York Times Chinese edition, which added that Iran is expected to be a major topic at the Trump-Xi meeting.

REUTERS; AP; NYT; 纽约时报中文网

DIPLOMACY

MOFA marks Mukden Incident at 95 by calling it a concealed Japanese war conspiracy

MOFA spokesperson **Guo Jiakun** used the Sept 18 press conference, 95 years after the 1931 Mukden Incident, to call the incident a war conspiracy long concealed by the Japanese government, to say Japan's "denialism" on historical questions keeps growing, and to declare that China will never allow Japanese militarism to revive. People's Daily's "Zhong Sheng" column ran a same-day commentary headlined "Unless the root of the disease is removed, Japan has no future," while MND outlets carried commemorations at the former Beidaying barracks site in Shenyang and at the Hengyang martyrs' cemetery.

人民日报国际; 央视新闻; 国防部

TECHNOLOGY

Huawei rolls out 11 AI-related chips, including next-generation Ascend line

Huawei introduced more than ten chipsets for AI computing infrastructure on Thursday, aimed at Nvidia, Intel and AMD, alongside new SuperPod interconnect technology reported by the Washington Post. The company also detailed its Kirin 9050 Pro mobile SoC for the Mate XT2 triple-fold phone, its first full public airing of Kirin specifications in six years, per a Guancha account of the Sept 7 Shenzhen launch.

PRC-ECONOMY

Yuan hits strongest level since 2022 after PBOC fixing

The onshore yuan strengthened past its four-year high following the PBOC's daily fixing, trading at 6.6868 per dollar, up 0.32 percent, with the offshore rate at 6.6974. Reuters reported separately that banks are expected to hold loan prime rates unchanged for a 16th consecutive month at the Sept 20 setting.

BLOOMBERG; REUTERS

• OVERNIGHT

PLA

Djibouti base upgrades should extend PLA monitoring reach, report says · Reuters

Reuters reported on findings that construction work at China's PLA Support Base in Djibouti should expand its monitoring reach. The facility is China's only declared overseas military base.

ENERGY

China's oil stockpiles gave it unusual leverage during the Iran war · New York Times

The Times reported that the war with Iran exposed how much influence the world's largest oil importer holds over prices and over other countries' jet fuel, gasoline and diesel supplies. Brent stood at \$98.55, down 6.75 percent.

TECHNOLOGY

Giving the world cheap AI was the easy part for China · Bloomberg

Bloomberg examined whether China can convert the global spread of its low-cost models into geopolitical leverage. Kai-Fu Lee argued earlier this month that China will win the AI "reach" race.

PROPERTY

China's push for niche property funding sputters against oversupply · Bloomberg

Beijing's effort to channel financing into specialised property segments is stalling amid excess supply, Bloomberg reported. Goldman Sachs estimated this month that recent property measures could drive a 30 percent hit to land sales.

MARKETS

AI and semiconductor boom lifts the Taiwan dollar and Korean won · Nikkei Asia

Nikkei reported that the AI and chip cycle is strengthening the currencies of the two most semiconductor-exposed Asian economies. The yuan separately reached its strongest level since 2022.

PLA

Zhang Shengmin meets Indonesian defense minister as Xiangshan Forum closes · PLA Daily

PLA television reported that CMC Vice Chairman **Zhang Shengmin** met Indonesia's defense minister, that the fourth China-Africa Peace and Security Forum convened, and that the 13th Beijing Xiangshan Forum closed. The programme framed the two meetings around Asia-Pacific security and the role of developing countries.

PRC-ECONOMY

Unemployment is becoming a way of life for China's young · The Economist

The Economist reported on the entrenchment of youth joblessness in China. A record 12.7 million graduates entered the labour market this year into an AI-disrupted hiring environment.

TARIFF · BLOOMBERG

Washington seen holding new excess-capacity tariffs until after the Xi meeting

Bloomberg reported the administration is expected to delay announcing new excess-capacity tariff measures until after next week's summit, a report picked up in Seoul by the Korea Times. MOFCOM said on Sept 17 that the two economic teams are in close communication on arrangements to mutually lower tariffs on \$30 billion of goods each, with progress to be announced in due course, per China Times.

CONGRESS · SCMP

Beijing rejects "long-arm jurisdiction" after Congress clears Russian-energy tariff bill

Congress passed a bill on Wednesday authorising tariffs of up to *100 per cent* on the five largest importers of Russian oil and natural gas, China among them, named for the late Republican Senator Lindsey Graham. MOFA spokesman **Guo Jiakun** said Beijing has always opposed "long-arm jurisdiction"; the House vote sends the measure to the White House, per VOA Chinese.

CONGRESS · BLOOMBERG

Former military chiefs back bill to block Chinese cars from the US market

A group of retired senior US military officers endorsed legislation that would bar Chinese vehicles from the American market. The Commerce Connected Vehicles Rule already bans certain PRC-origin hardware and software in US vehicles.

CONGRESS · WASHINGTON POST

Khanna moves to pace Chinese frontier AI

The Post's AI & Tech Brief reported exclusively that Representative **Ro Khanna** is seeking to pace Chinese frontier AI development. Khanna became ranking member of the House Select Committee on the CCP in January 2026.

LEGAL · REUTERS

US government website ran a Chinese AI search tool the FBI said copied Anthropic

Reuters reported that a US government website used an AI search tool made in China which the FBI had assessed as a copy of Anthropic's product. The finding lands as US-China AI safety talks are being arranged around the summit.

MILITARY · NEW YORK TIMES

Trump advances F-35 sale to Saudi Arabia over intelligence warnings about China

US intelligence agencies warned in internal reports that China could acquire or steal American warplane technology if F-35s are delivered to Saudi Arabia, the Times reported. The administration is proceeding with the sale.

DIPLOMACY · REUTERS

BYD, CATL, Xiaomi executives may travel with Xi; Innolight and Bank of China also in frame

Reuters and SCMP reported that executives from BYD, CATL, Xiaomi and Innolight are likely on the delegation list, with Bank of China possibly invited. China Times noted BYD was added to the War Department's Chinese military companies blacklist in June and that CATL's US plant faces local and congressional opposition.

CROSS-STRAIT · NIKKEI ASIA

Taiwan confirms second quasi-diplomatic office in the Philippines; Beijing calls it "doomed"

Taiwan's foreign minister confirmed Nikkei Asia's reporting that Taipei is preparing a second representative office in the Philippines. Beijing said the move is "doomed."

CROSS-STRAIT · TAIPEI TIMES

Asian allies anxious that Taiwan could be traded for an economic win

Officials, lawmakers and analysts in Taipei, Tokyo and Washington told the paper they fear Trump could soften US rhetoric on Taiwan for a deal at next Thursday's summit, concerns sharpened since he called US arms sales a "negotiating chip" in May. Former ambassador to Washington **Cui Tiankai** addressed a defense forum in Beijing on Tuesday.

JAPAN · KYODO NEWS

Chinese vessel suspected of marine research inside Japan's EEZ

Kyodo reported a Chinese vessel is suspected of conducting marine research within Japan's exclusive economic zone. The report ran on the 95th anniversary of the Mukden Incident, with Japanese aircraft-detection reports over the East China Sea logged earlier this month.

KOREA · YONHAP (CHINESE)

ROK Supreme Court upholds four-year term for soldier who leaked military intelligence to Chinese handler

South Korea's Supreme Court last month upheld a four-year sentence, a 20 million won fine and 19.07 million won forfeiture against an army soldier who passed ROK-US joint exercise materials, UN Command documents and unilateral training data to a Chinese contact in seven instances between August 2024 and February 2025, receiving 17.26 million won. The appellate court found no conclusive proof the recipient was an intelligence officer but confirmed transmission to a Chinese intelligence organisation via an unidentified party.

MIDDLE EAST · REUTERS

China presses Iran to help rein in the Houthis after a Saudi appeal

Reuters reported exclusively that Beijing has pressed Tehran to help restrain the Houthis following a request from Riyadh. Wang Yi and Rubio also exchanged views on the Middle East in their Sept 17 call.

EUROPE · REUTERS

Germany's finance minister presses Brussels for measures on Chinese hybrids and local content

Speaking at Volkswagen's Wolfsburg headquarters, Finance Minister **Lars Klingbeil** said Berlin will push Brussels for "concrete measures" covering plug-in hybrids and local content requirements, adding that Germany "cannot, when all is said and done, be naive" with China. EU tariffs on Chinese-made electric cars have been in place since 2024; MOFA said it would closely watch EU moves after Brussels asked China to voluntarily limit hybrid shipments.

INDIA · REUTERS

Nexperia turns to India's Tata for chip production and packaging after break with Chinese parent

Nexperia said it will partner with Tata on chip production and packaging in India following its fallout with its Chinese parent. The tie-up reroutes part of a supply chain that seized up for European automakers last year.

Zimbabwe's blueberry growers hit a finance wall chasing Chinese demand

Forrester Estates north of Harare wants to more than double plantings to 50 hectares after Zimbabwe's first blueberry shipment to China in July, but each new hectare costs \$50,000 to \$55,000 and foreign exchange is scarce, farm manager Albert Chakala told AFP. The opening followed a phytosanitary agreement signed a year ago and Beijing's May scrapping of tariffs on imports from 53 African countries.

• STAT OF THE DAY

4,523 MW

Data-centre grid capacity requested from Taipower by end-July

Taipower had approved 47 of the 75 transmission-level connection requests, and roughly 40 percent of those approvals lapsed before a formal application was filed.

Taipei Times, "Realizing Taiwan's AI ambitions"

MACRO · REUTERS

Loan prime rates seen unchanged for a 16th straight month

A Reuters survey points to no change in the one-year and five-year loan prime rates at the September fixing, extending the hold to 16 consecutive months.

AUTO / BYD · BLOOMBERG

BYD recalls 183,000 cars in China over brake-pedal risk

BYD is recalling 183,000 vehicles in China over a brake-pedal safety defect, days before its founder is reported as a candidate for Xi's Washington delegation.

TECH / CXMT, SAMSUNG, YMTC · REUTERS

CXMT plans flash-memory push into a global shortage

ChangXin Memory Technologies is preparing to enter flash memory, taking on Samsung and domestic rival YMTC as shortages persist, Reuters reported exclusively.

ENERGY · REUTERS

August refined fuel exports top pre-Iran-war levels; jet fuel sets a record

China's refined product exports in August exceeded pre-war levels and jet fuel shipments hit an all-time high, Reuters reported.

AUTO / CATL · BLOOMBERG

CATL's grip on Chinese EV makers starts to loosen

Bloomberg reported that Chinese automakers are diversifying battery suppliers away from CATL, whose executives may join the Washington delegation.

PROPERTY / CHINA EVERGRANDE · BLOOMBERG

Private equity firms weigh fresh bids for an Evergrande unit

Buyout firms are considering renewed offers for a China Evergrande subsidiary, Bloomberg reported.

TECH / MOONSHOT, CICC · CNBC

Moonshot connects Kimi to Wall Street data providers

Moonshot said it signed financial industry customers ranging from investment bank CICC to venture capital firms, linking its model to leading market data providers.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · FRIDAY, SEPTEMBER 18, 2026

商务部 · MINISTRY OF COMMERCE · MOFCOM (statistical release)

FDI actually used in China reached 479.95 billion yuan in January-August

MOFCOM published its cumulative eight-month foreign direct investment figure of 479.95 billion yuan. The release came six days before the Sept 24 Washington summit at which a Board of Investment mechanism agreed in May is due for follow-through.

→ MOFCOM ↗

国务院 · STATE COUNCIL · Xi Jinping, CCP General Secretary

Xi issues written instructions on developing advanced manufacturing

Xi Jinping issued "important instructions" on the development of advanced manufacturing, carried across State Council and local government portals. Sinocism ties the release to a National Advanced Manufacturing Conference.

→ State Council ↗

商务部 · MINISTRY OF COMMERCE (TRADE REMEDY BUREAU) · China Trade Remedy Information Network

MOFCOM logs US preliminary anti-dumping determinations on fatty acids and tin mill products

MOFCOM's trade-remedy service posted notices of US preliminary anti-dumping determinations on fatty acids and on tin mill plate. A separate notice recorded Argentina opening a combined sunset and changed-circumstances review of anti-dumping duties on Chinese carbon steel fasteners.

→ MOFCOM ↗

商务部 · MINISTRY OF COMMERCE · MOFCOM spokesperson

MOFCOM responds to the European Commission's draft public procurement law and its "Europe first" clause

MOFCOM issued a response to the European Commission's draft public procurement legislation containing a "Europe first" provision. The EU tabled "Buy European" procurement rules earlier this month.

→ MOFCOM ↗

国务院 · HONG KONG SAR GOVERNMENT · John Lee, Hong Kong Chief Executive

Hong Kong's first five-year plan and 2026 policy address published Sept 16

Chief Executive John Lee released Hong Kong's debut five-year plan alongside the 2026 policy address on Sept 16, telling CCTV the plan focuses on economic development and livelihood while aligning with national development strategy.

王毅 · WANG YI · PREPARING THE NEXT STAGE OF US-CHINA HIGH-LEVEL INTERACTIONS ROUTINE · TO US

Wang Yi ¹: Politburo member and Foreign Minister

“Head-of-state diplomacy is the anchor of China-US relations. The two sides should, in a spirit of equality, respect and reciprocity, prepare well for the next stage of high-level interactions, strengthen communication, advance cooperation, manage differences and respect each other's core interests.”

元首外交是中美關係的定盤星。雙方要本著平等、尊重、互惠的精神，籌備好下階段高層交往，加強溝通、推進合作、管控分歧，尊重彼此核心利益。

From the Xinhua readout of Wang Yi's Sept 17 phone call with Secretary of State Marco Rubio, six days before Xi's scheduled Washington visit.

中国时报 (citing Xinhua)

外交部 · MOFA · SABINA SHOAL COLLISION WITH A PHILIPPINE GOVERNMENT VESSEL

FIRM · TO PHILIPPINES

Guo Jiakun ¹: MOFA spokesperson

“The Philippines should immediately stop its infringements and provocations at sea, and stop spreading false narratives and reversing black and white. China will continue to firmly defend its territorial sovereignty and maritime rights and interests, and firmly safeguard peace and stability in the South China Sea.”

菲律賓應該立即停止在海上的侵權挑釁，停止散播虛假敘事、顛倒黑白。中方將繼續堅定捍衛自身領土主權和海洋權益，堅定維護南海和平穩定。

Guo said a Philippine government vessel provoked near Xianbin Jiao (Sabina Shoal) in the Nansha Islands on the morning of Sept 18 and deliberately rammed a Chinese coast guard ship.

外交部發言人 via 新京報 / Xinhua

外交部 · MOFA · MUKDEN INCIDENT ANNIVERSARY AND JAPANESE HISTORICAL REVISIONISM

WARNING · TO JAPAN

Guo Jiakun ¹: MOFA spokesperson

“Per MOFA spokesperson Guo Jiakun at the Sept 18 press conference: China will never allow Japanese militarism to revive, and Japan's tendency toward "denialism" in its treatment of historical questions keeps growing and spreading.”

絕不允許日本軍國主義死灰復燃；日本對待歷史問題的“否認主義”傾向不斷滋長蔓延

The presser fell on the 95th anniversary of the Sept 18 1931 Mukden Incident, which MOFA described as a war conspiracy long concealed by the Japanese government.

央視新聞 (CCTV)

外交部 · MOFA · NON-CONFIRMATION OF XI'S TRAVEL DATES TO THE UNITED STATES

ROUTINE · TO US

Guo Jiakun ¹: MOFA spokesperson

“Per MOFA: China and the United States are maintaining communication on arrangements for interactions between the two heads of state within this year.”

中美双方就年内元首互动安排保持着沟通

A Bloomberg reporter asked Guo to confirm whether the Chinese leader will travel to the US and on which days; Beijing has still not published the itinerary, as UDN also noted.

外交部发言人 via 财联社

人民日报 · PEOPLE'S DAILY · JAPAN'S HANDLING OF WARTIME HISTORY

WARNING · TO JAPAN

Zhong Sheng ' · People's Daily commentary byline

“Per People's Daily's "Zhong Sheng" commentary marking the Mukden Incident anniversary: unless the root of the disease is removed, Japan has no future.”

病根不除，日本没有未来

Published Sept 18 and carried by Chinanews and Lianhe Zaobao alongside the MOFA presser remarks on Japanese militarism.

人民日报 via chinanews.com.cn

• WHAT OTHERS ARE SAYING

AFP · SEP 17

Lars Klingbeil · German Finance Minister

“We cannot, when all is said and done, be naive in our dealings with China.”

Klingbeil spoke at Volkswagen's Wolfsburg headquarters and said Berlin will press Brussels for concrete measures on plug-in hybrids and local content requirements.

source

TAIPEI TIMES · SEP 18

Lin Chia-lung · Taiwan Minister of Foreign Affairs

“Kumamoto's safety is a shared concern for Taiwan and Japan”

Lin handed more than NT\$300 million (US\$9.4 million) in public donations to the Japan-Taiwan Exchange Association's Taipei office head Kazuyuki Katayama for recovery from the July 28 magnitude 7.1 earthquake, which killed 38 people.

source

LEADERSHIP

UDN

Russian state TV footage attributes Xi's BRICS moment to a faulty interpreting earpiece

Russia-1 video shows aides replacing Xi's malfunctioning interpretation receiver; India's MEA called stroke rumours fabricated and said the unwell leader was Cyril Ramaphosa.

CROSS-STRAIT

TAIPEI TIMES

MAC warns China's new entry-exit rules widen exit-ban discretion

The rules took effect Tuesday; authorities may withhold the fact of an exit ban, its reasons and appeal routes in national-security cases, the MAC said.

TAIPEI TIMES

Taiwan's Asian Games training banner defaced in Nagoya

Ink covered the characters for "national" and the word "Taiwan"; Aichi police are investigating and Taiwan's Ministry of Sports called for mutual respect.

TRADE

BLOOMBERG

EU says it is ready to get tough on Chinese trade imbalances

Brussels signalled willingness to act on imbalances as member states press for measures extending beyond the 2024 EV tariffs.

RFI CHINESE

EU commissioner to visit Beijing in October to meet Wang Wentao

An EU commissioner will travel to Beijing in October for talks with Commerce Minister Wang Wentao, RFI reported.

TECHNOLOGY

REUTERS

Spirit AI founder predicts a 2027 breakthrough in robot "brains"

The Chinese startup's founder told Reuters that general-purpose robot control models are set for a breakthrough next year.

BLOOMBERG

Chinese robotics suppliers rally on a Tesla Optimus audit report

Shares of Chinese humanoid-robot component makers rose after a report on Tesla's Optimus supplier audit.

COMMODITIES

BLOOMBERG

Copper heads for a weekly gain as Chinese buyers return

Returning Chinese demand put copper on course for a weekly advance, Bloomberg reported.

● UPCOMING

Sep
22

UN General Assembly high-level week opens in New York

CGTN reported the US will allow the Iranian president to attend. China and Russia have just ended the independent UN monitoring mandate on Iran sanctions.

Sep
24

Xi Jinping state visit to Washington

A US official told AFP that Xi is expected at Joint Base Andrews at 4pm EDT on Sept 23 with Trump attending the welcome. MOFA has still not confirmed the dates.

Oct
1

PRC National Day, 77th anniversary

Falls during the run-up to the Fifth Plenum of the 20th Central Committee, announced for October by the Jul 30 2026 Politburo.

Oct
25

UN Resolution 2758 — 55th anniversary

A contested-interpretation flashpoint; the TAO this week again pressed its "reunification is unstoppable" framing against the Mainland Affairs Council.

Nov
10

Busan one-year suspensions lapse (approximate)

The BIS Affiliates Rule suspension and China's Oct 2025 rare-earth export-control suspension both run out around this date unless extended.

CSIS China Programs

CHINA DAILY BRIEF

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